INVESTMENT COMMITTEE MEMO

To: Portfolio Manager and Senior Equity Analysts
From: Mason Smith, AI Task Force Analyst
Date: October 19, 2026
Subject: TeraWulf Inc. (Nasdaq: WULF) — Investment Recommendation

Recommendation: Watch / Defer

I recommend that the fund hold off on buying TeraWulf shares for now. We currently have no position in the company, and I believe keeping our allocation at 0% is the best decision until we have more confidence in its construction costs and financing. My model gives a conditional valuation range of about $0 to $2.75 per diluted share. That range is well below the $11.68 closing price on October 16, 2026, although the model uses a June 30 balance sheet and should not be treated as an up-to-date price target. The goal of this analysis is not to prove that TeraWulf is a bad business. It is to decide whether we have enough evidence to invest today. I do not think we do.

Why TeraWulf Is Worth Watching

TeraWulf is shifting from bitcoin mining toward high-performance computing infrastructure that can serve growing AI demand. The company reported 102 megawatts of capacity delivered at Lake Mariner in July 2026, with another 336 megawatts under construction. Its July agreement with Anthropic covers 401 critical IT megawatts and roughly $19 billion of rent over 20 years, if we are assuming the planned facilities are delivered. This is a good sign of customer demand, but future rent is not the same as cash the company can use today.

The biggest concern is how much money TeraWulf still needs to spend before these projects produce steady cash flow. The model estimates $5.21 billion in remaining construction costs and assumes a further $3.5 billion of debt financing. That debt facility is a modeling assumption, not confirmed funding. At June 30, the company had about $2.62 billion in unrestricted cash compared with $5.73 billion of debt principal. I also excluded $409 million of restricted cash from money freely available to shareholders. These figures make financing and construction execution just as important as customer demand.

What the Valuation Shows

I used a discounted cash flow model covering the second half of 2026 and 2027 through 2031. In the base case, a 10% discount rate and 2% long-term growth assumption produce a present value of -$3.36 billion for forecast period free cash flow and $3.87 billion for terminal value. That leaves only about $513 million of operating enterprise value. After accounting for available cash, a minimum cash reserve, expected sales, debt, and other claims, the estimated common equity value is -$2.45 billion. The displayed value is therefore $0 per share, rather than a negative share price of- $4. I used about 612.9 million diluted shares, including warrants and restricted stock units.

The better-case scenario assumes construction costs come in 10% lower, rent is 5% higher, mature-site margins reach 85%, and the discount rate falls to 8%. Under those conditions, the estimate improves to $2.74 per share. More difficult scenarios, including a project delays or a major cost overrun would fail the model's financing checks. I did not assign them a normal valuation because they would need additional funding that has not been established.

What Could Change My Mind

The model is sensitive to assumptions about future cash flow and financing. In fact, terminal value is more than seven times the base operating enterprise value because the early construction years use so much

cash. That means the result depends really on what happens after the forecast period. Peer comparisons because EV/revenue suggests roughly negative $2.28 to $7.76 per share, while price/book suggests $0.72 to $1.95.

Before recommending an investment, I would want to see confirmed financing and a clearer breakdown of remaining construction costs with evidence that projects are coming online and collecting rent on schedule. I would worry about if construction costs increase above 10%, or delay of more than 90 days, or any cash shortfall without a funding plan. TeraWulf could become more attractive if it proves it can finish its projects without putting too much pressure on existing shareholders.

The public still has lots of negative sentiments about the increase in AI infrastructure and data centers, so politics will be an additional concern towards the election cycle. That being said, construction should be wrapping up and bringing lots more revenue through the door. For now, my recommendation is to keep TeraWulf on the watchlist and revisit the decision after the expected November 6, 2026 earnings updates and even further into 2027 and 2028. It seems like it will be long watch before we see any major upswings in the future.